BRAZIL EV SUPPLY CHAIN BRIEF · AUTOMOTIVE SOURCING · EDITION 29 OCT 2026

Electrified car imports rose 160% to 425k units, 93% from China, and spiked before every July tariff step. From 2027, localization is the only cost lever left

EDITION
29 Oct 2026

DATA TO
Comex Stat Sep 2026

Brazil imported 425k battery-electric, plug-in and hybrid cars in Jan–Sep 2026 (195k BEV, 164k PHEV, 65k HEV), against 163k a year earlier. 50% of the year's volume landed in May and June, ahead of the July step that took all electrified categories to 35%. Average FOB value fell from USD 31.5k in 2023 to 16.5k per unit, consistent with kits for local assembly and cheaper models entering the mix. With kit duties converging to 35% in January 2027, the remaining lever is local content: batteries, body parts and tires.

ELECTRIFIED CAR IMPORTS
+160%
425k units, Jan–Sep 2026 vs 163k

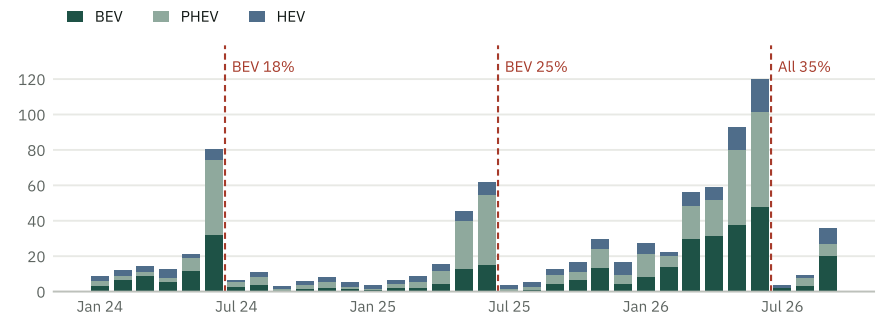
FRONT-LOADING
50%
of Jan–Sep units imported in May and June

LI-ION BATTERY IMPORTS
+66%
USD 748 M · 84% from China

AUTO PARTS IMPORTS
USD 7.0 bn
+4.6% · China share 16% to 25%

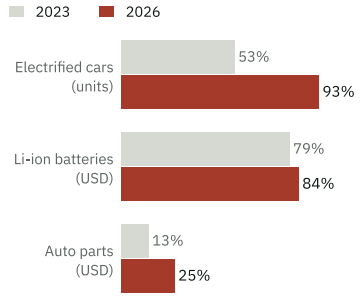
Electrified car imports by month, thousand units

NCM 8703.40/50 (HEV), 8703.60/70 (PHEV), 8703.80 (BEV) · Jan 2024 to Sep 2026 · dashed lines mark duty steps



China share of imports

Jan–Sep 2023 vs Jan–Sep 2026



01 Implications for sourcing

1. **Localize by duty saved, not by part count:** at 35%, every USD 1,000 of imported kit content carries about USD 350 of import duty before other taxes. Rank parts by duty saved per tooling dollar; bumpers, tires, seats, glass and harnesses usually come first.
2. **Batteries are the largest block:** Li-ion imports grew 66% with 84% from China. A staged path (imported cells, local pack assembly, then local modules) captures value while cell supply stays concentrated.
3. **Build the local supplier pipeline now:** China went from 16% to 25% of auto parts imports in one year. PPAP and validation lead times mean 2027 nationalization targets need supplier nominations in the coming months.
4. **Smooth the inbound plan:** no step remains after January 2027, so the May–June peaks that drove inventory and working capital can end. Renegotiate freight and storage on flatter volumes.
5. **Price FX into imported content:** USD/BRL jumped 9% in one session on 26 Oct. Use FX adjustment clauses or hedging for USD and CNY content.

02 Import duty schedule

GECEX · CARS

FROM	BEV	PHEV	HEV	KITS
Jan 2024	10%	12%	15%	Schedule starts
Jul 2024	18%	20%	25%	
Jul 2025	25%	28%	30%	
Jul 2026	35%	35%	35%	SKD kits 35%; CKD 14% to Dec
Jan 2027	35%	35%	35%	All kits 35%

03 Origin of auto parts

8708 · FOB SHARE

ORIGIN	2025	2026	CHANGE
China	16.5%	25.1%	+8.6 pp
Japan	13.7%	10.7%	-3.0 pp
Mexico	10.3%	10.0%	-0.4 pp
Germany	8.8%	7.1%	-1.8 pp
United States	7.4%	6.4%	-1.0 pp
South Korea	5.0%	4.8%	-0.1 pp

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Sources: MDIC Comex Stat, imports by NCM and country, headings 8703, 8708 and 8507.60, Jan–Sep 2023 to 2026, FOB USD and statistical units; kits for local assembly may be reported under the same vehicle codes. Duty schedule: Gecex/MDIC resolutions on electrified vehicles (Nov 2023) and 2026 kit rates as reported by the trade press. FX: Banco Central do Brasil PTAX. Public data only; prepared for portfolio purposes, with no company confidential information.